LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

NINE MONTH PERIOD ENDED 31 DECEMBER 2014

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the nine month period ended 31 December 2014

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Lanka Orix Leasing Company PLC
Statement of financial position

Group	Company		Group		Company	
31-Mar-14	**31-Mar-14**	*As at*	**31-Dec-14**	**31-Dec-13**	**31-Dec-14**	**31-Dec-13**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
			Un-audited	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
5,173,496	94,205	Cash and cash equivalents	5,770,004	5,010,007	60,956	74,149
885,802	536,325	Trading assets - fair value through profit or loss	940,727	1,082,007	583,877	667,808
16,172,946	382,733	Investment securities	18,344,155	15,462,077	711,117	393,795
36,259,242	1,069	Finance lease receivables, hire purchases and operating leases	42,145,644	38,262,009	-	145
54,285,641	1,513,662	Advances and other loans	85,555,377	54,121,027	1,286,721	1,499,760
449,589	-	Insurance premium receivables	415,271	445,467	-	-
1,868,626	44,435	Inventories	1,127,780	2,177,068	37,623	52,045
1,103,421	186,559	Current tax assets	285,365	280,511	193,026	169,491
6,359,820	2,826,612	Trade and other current assets	9,492,463	8,430,019	5,320,375	7,133,859
51,088	-	Prepaid lease rentals on leasehold properties	113,256	51,998	-	-
6,655,490	331,500	Investment properties	7,365,363	6,859,306	331,500	336,187
-	-	Real estate stocks	-	2,598	-	-
		Investments in group companies;				
-	32,624,979	Subsidiary companies	-	-	33,290,562	32,623,505
1,829,124	14,298	Jointly controlled entities	1,714,552	1,837,298	14,298	14,298
13,472,318	7,009,249	Equity accounted investees - Associates	14,733,742	11,666,679	7,535,124	6,966,941
313,171	-	Deferred tax assets	387,318	440,769	81,272	30,668
722,549	142,276	Intangible assets	2,227,291	795,511	134,417	150,693
21,510,363	3,546,245	Property, plant and equipment	23,667,984	18,737,784	3,621,133	2,872,666
167,112,686	**49,254,147**	**Total assets**	**214,286,292**	**165,662,135**	**53,202,001**	**52,986,010**
		Liabilities and equity				
		Liabilities				
2,819,302	399,689	Bank overdrafts	3,418,942	4,360,770	333,477	1,513,687
405,434	6,443	Trading liabilities - fair value through profit or loss	304,420	144,656	371	-
49,614,880	-	Deposits liabilities	53,325,928	43,831,809	-	-
65,548,888	13,853,920	Interest bearing borrowings	93,953,149	70,082,898	17,600,659	16,399,013
271,792	-	Insurance provision - life	521,580	170,973	-	-
1,248,685	-	Insurance provision - general	1,339,502	1,159,795	-	-
1,058,725	179,186	Current tax payables	1,658,356	1,441,852	-	77,596
3,277,069	529,238	Trade and other payables	9,695,901	5,405,817	491,309	1,674,573
2,220,836	7,282	Deferred tax liabilities	2,316,258	1,682,381	88,554	-
11,388	-	Deferred income	35,847	27,801	-	-
355,197	149,112	Retirement benefit obligations	391,017	284,331	153,431	96,582
126,832,196	**15,124,870**	**Total liabilities**	**166,960,900**	**128,593,083**	**18,667,801**	**19,761,451**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,357,905	1,509,262	Reserves	5,667,199	2,322,737	1,835,442	732,700
17,069,012	32,144,815	Retained earnings	21,057,522	17,167,403	32,223,558	32,016,659
22,902,117	**34,129,277**	**Equity attributable to shareholders of the Company**	**27,199,921**	**19,965,340**	**34,534,200**	**33,224,559**
17,378,373	**-**	**Non-controlling interests**	**20,125,471**	**17,103,712**	**-**	**-**
40,280,490	**34,129,277**	**Total equity**	**47,325,392**	**37,069,052**	**34,534,200**	**33,224,559**
167,112,686	**49,254,147**	**Total liabilities & equity**	**214,286,292**	**165,662,135**	**53,202,001**	**52,986,010**
48.19	**71.82**	**Net assets per share (Rs.)**	**57.24**	**42.01**	**72.67**	**69.92**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I.C. Nanayakkara
Deputy Chairperson
12th Feburary 2015, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					Company				
	Three Months Ended		Nine Months Ended			Three Months Ended		Nine Months Ended		
	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	Variance %	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	Variance %
Gross income	**11,200,721**	**9,880,900**	**31,751,605**	**30,378,463**	**5**	**622,202**	**1,333,535**	**1,853,626**	**3,125,409**	**(41)**
Revenue	2,928,167	1,967,720	7,733,698	8,013,049	(3)	-	-	-	-	-
Less: cost of sales	(2,004,297)	(1,462,093)	(5,394,778)	(5,813,732)	(7)	-	-	-	-	-
Gross profit	**923,870**	**505,627**	**2,338,920**	**2,199,317**	**6**	**-**	**-**	**-**	**-**	**-**
Income	8,026,211	7,275,439	22,527,929	20,068,260	12	256,263	493,606	731,042	1,648,427	(56)
Other income/(expenses)	246,343	637,741	1,489,978	2,297,154	(35)	365,939	839,929	1,122,584	1,476,982	(24)
Net finance costs	(3,207,149)	(4,156,884)	(9,946,246)	(12,357,077)	(20)	(390,464)	(661,981)	(1,192,429)	(2,099,793)	(43)
Profit before operating expenses	**5,989,275**	**4,261,923**	**16,410,581**	**12,207,654**	**34**	**231,738**	**671,554**	**661,197**	**1,025,616**	**(36)**
Operating expenses										
Direct expenses excluding finance costs	(332,353)	(88,426)	(1,890,537)	(1,847,215)	2	(4,846)	(43,103)	(15,401)	(100,672)	(85)
Personnel costs	(1,282,545)	(848,552)	(3,260,395)	(2,351,211)	39	(41,638)	(23,865)	(92,912)	(78,350)	19
Net impairment (loss) / reversal on financial assets	(748,909)	(850,901)	(2,427,154)	(2,219,871)	9	784	38,384	(2,956)	88,065	(103)
Depreciation and amortization	(278,678)	(214,826)	(725,470)	(589,419)	23	(72,754)	(78,131)	(234,982)	(229,475)	2
Other operating expenses	(1,421,637)	(1,306,876)	(3,522,770)	(3,229,836)	9	(89,534)	(30,649)	(225,025)	(132,536)	70
Results from operating activities	**1,925,153**	**952,342**	**4,584,255**	**1,970,102**	**133**	**23,750**	**534,190**	**89,921**	**572,648**	**(84)**
Gain on disposal of subsidiaries	-	6,649	-	6,649	(100)	-	-	-	-	-
Share of profits of equity accounted investees	418,215	197,049	1,466,914	748,194	96	-	-	-	-	-
Gains on bargain purchases (negative goodwill)	-	72,785	-	205,473	(100)	-	-	-	-	-
Profit before income tax expense	**2,343,368**	**1,228,825**	**6,051,169**	**2,930,418**	**106**	**23,750**	**534,190**	**89,921**	**572,648**	**(84)**
Income tax expense	(811,784)	(371,203)	(1,714,047)	(1,039,942)	65	(11,178)	(34,510)	(11,178)	(34,510)	-
Profit for the period	**1,531,584**	**857,622**	**4,337,122**	**1,890,476**	**129**	**12,572**	**499,680**	**78,743**	**538,138**	**(85)**
Profit attributable to;										
Equity holders of the Company	1,254,731	704,821	3,767,100	1,293,715		12,572	499,680	78,743	538,138	
Non-controlling interests	276,853	152,801	570,022	596,761		-	-	-	-	
	1,531,584	**857,622**	**4,337,122**	**1,890,476**		**12,572**	**499,680**	**78,743**	**538,138**	
Basic earnings per share (Rs.)	**2.64**	**1.48**	**7.93**	**2.72**		**0.03**	**1.05**	**0.17**	**1.13**	

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Group				Company			
	Three Months Ended		Nine Months Ended		Three Months Ended		Nine Months Ended	
	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000	31-Dec-14 Rs.' 000	31-Dec-13 Rs.' 000
Profit for the period	**1,531,584**	**857,622**	**4,337,122**	**1,890,476**	**12,572**	**499,680**	**78,743**	**538,138**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets	(10,161)	(86,318)	426,673	(1,444,534)	28,154	17,432	326,180	(98,048)
Revaluation of property, plant & equipment	-	492,764	-	492,764				
Net movement of cash flow hedges	255,595	(132,009)	101,790	(261,099)	-	-	-	-
Effect on translation differences for foreign operations	37,456	(1,125)	41,122	(243)	-	1,013	-	(20,803)
	(2,135)	-	(2,135)	-	-	-	-	-
Other comprehensive income/ (expense) for the year, net of tax	**280,755**	**273,312**	**567,450**	**(1,213,112)**	**28,154**	**18,445**	**326,180**	**(118,851)**
Total comprehensive income / (expense) for the period	**1,812,339**	**1,130,934**	**4,904,572**	**677,364**	**40,726**	**518,125**	**404,923**	**419,287**
Total comprehensive income / (expense) attributable to;								
Equity holders of the Company	1,460,737	1,102,457	4,330,200	1,218,364	40,726	518,125	404,923	419,287
Non-controlling interests	351,602	28,477	574,372	(541,000)	-	-	-	-
Total comprehensive income / (expense) for the period	**1,812,339**	**1,130,934**	**4,904,572**	**677,364**	**40,726**	**518,125**	**404,923**	**419,287**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2014

Group	Equity Attributable to the Owners of the Company										Non-controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total		
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2013	**475,200**	**1,047,927**	**48,355**	**(694,007)**	**118,771**	**205,000**	**1,035,297**	**507,435**	**18,144,262**	**20,888,240**	**17,868,162**	**38,756,402**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	1,293,715	**1,293,715**	596,761	**1,890,476**
Other comprehensive income												
Depreciation transfer on revaluation	-	488,182	-	-	-	-	-	-	-	**488,182**	4,582	**492,764**
Net change in fair value of available-for-sale financial assets	-	-	-	(341,333)	-	-	-	-	-	**(341,333)**	(1,103,201)	**(1,444,534)**
Effect on translation differences for foreign operations	-	-		-	(243)	-	-	-	-	**(243)**	-	**(243)**
Net movement of cash flow hedges	-	-	(221,957)	-	-	-	-	-	-	**(221,957)**	(39,142)	**(261,099)**
Total comprehensive income for the period	**-**	**488,182**	**(221,957)**	**(341,333)**	**(243)**	**-**	**-**	**-**	**1,293,715**	**1,218,364**	**(541,000)**	**677,364**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(13,086)	**(13,086)**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	-	(2,141,429)	**(2,141,429)**	(210,364)	**(2,351,793)**
Depreciation transfer on revaluation	-	(629)	-	-	-	-	-	-	629	**-**	-	**-**
Transfers to statutory reserve fund	-	-	-	-	-	-	29,607	-	(29,607)	**-**	-	**-**
Transfers to investment fund	-	-	-	-	-	-	-	100,167	(100,167)	**-**	-	**-**
Deferred tax reversal	-	165	-	-	-	-	-	-	-	**165**	-	**165**
Balance as at 31 December 2013	**475,200**	**1,535,645**	**(173,602)**	**(1,035,340)**	**118,528**	**205,000**	**1,064,904**	**607,602**	**17,167,403**	**19,965,340**	**17,103,712**	**37,069,052**
Balance as at 01 April 2014	**475,200**	**2,752,543**	**28,394**	**167,018**	**161,493**	**205,000**	**1,290,782**	**752,675**	**17,069,012**	**22,902,117**	**17,378,373**	**40,280,490**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	3,767,100	**3,767,100**	570,022	**4,337,122**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	439,206	-	-	-	-	-	**439,206**	(12,533)	**426,673**
Net movement of cash flow hedges	-	-	102,878	-	-	-	-	-	-	**102,878**	(1,088)	**101,790**
Effect on translation differences for foreign operations	-	-	-	-	23,151	-	-	-	-	**23,151**	17,971	**41,122**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	-	-	-	(2,135)	**(2,135)**	-	**(2,135)**
Total comprehensive income for the period	**-**	**-**	**102,878**	**439,206**	**23,151**	**-**	**-**	**-**	**3,764,965**	**4,330,200**	**574,372**	**4,904,572**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(150,240)	**(150,240)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	1,319,932	**1,319,932**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	-	(27,694)	**(27,694)**	(14,495)	**(42,189)**
Depreciation transfer on revaluation	-	(1,572)	-	-	-	-	-	-	1,572	**-**	-	**-**
Share issue of subsidiaries	-	-	-	-	-	-	-	-	-	**-**	1,028,835	**1,028,835**
Share issue expenses	-	-	-	-	-	-	-	-	(4,702)	**(4,702)**	(11,306)	**(16,008)**
Transfers to investment fund	-	-	-	-	-	-	-	(254,369)	254,369	**-**	-	**-**
Balance as at 31 December 2014	**475,200**	**2,750,971**	**131,272**	**606,224**	**184,644**	**205,000**	**1,290,782**	**498,306**	**21,057,522**	**27,199,921**	**20,125,471**	**47,325,392**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2014

Company	Equity attibutable to the shareholders of the Company							
	Stated Capital Rs.' 000	Revaluation Reserve Rs.' 000	Cash flow hedge Reserve Rs.' 000	Fair Value Reserve on AFS Rs.' 000	Future Taxation Reserve Rs.' 000	Statutory Reserve Fund Rs.' 000	Retained Earnings Rs.' 000	Total Rs.' 000
Balance as at 01 April 2013	**475,200**	**600,887**	**25,962**	**(63,897)**	**205,000**	**-**	**31,477,436**	**32,720,588**
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	538,138	**538,138**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(98,048)	-	-	-	**(98,048)**
Net movement of cash flow hedges	-	-	(20,803)	-	-	-	-	**(20,803)**
Revaluation of Property, plant & equipment	-	83,599	-	-	-	-	-	**83,599**
Total comprehensive income for the period	-	83,599	(20,803)	(98,048)	-	-	538,138	**502,886**
Dividend forfeited	-	-	-	-	-	-	1,085	**1,085**
Balance as at 31 December 2013	**475,200**	**684,486**	**5,159**	**(161,945)**	**205,000**	**-**	**32,016,659**	**33,224,559**
Balance as at 01 April 2014	**475,200**	**1,300,116**	**4,146**	**-**	**205,000**	**-**	**32,144,815**	**34,129,277**
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	78,743	**78,743**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	326,180	-	-	-	**326,180**
Net movement of cash flow hedges	-	-		-	-	-	-	**-**
Total comprehensive income for the period	**-**	**-**	**-**	**326,180**	**-**	**-**	**78,743**	**404,923**
Dividend forfeited	-	-	-	-	-	-		**-**
Balance as at 31 December 2014	**475,200**	**1,300,116**	**4,146**	**326,180**	**205,000**	**-**	**32,223,558**	**34,534,200**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the nine months ended 31 December	Group 2014 Rs.' 000	Group 2013 Rs.' 000	Company 2014 Rs.' 000	Company 2013 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	6,051,169	2,930,418	89,921	572,648
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(12,705)	18,168	(17,887)	(23,842)
Depreciation and amortization	725,470	589,419	234,982	229,475
Insurance provision	340,605	286,579	-	-
Change in fair value of forward contracts	(4,970)	14,336	-	-
Provision for gratuity	45,307	101,796	10,511	4,317
Net impairment (loss) / reversal on financial assets	2,427,154	2,219,871	2,956	(88,065)
Provision for fall/(increase) in value of investments	(184,050)	(27,804)	(141,376)	(38,474)
Investment Income	-	-		
Net finance costs	9,946,246	12,357,077	1,192,429	2,099,793
Interest income	(1,168,837)	(898,931)	(19,999)	(83,279)
(Profit)/loss on sale of quoted and non-quoted shares	(169,950)	(1,010,326)	50,003	47,509
Share of profits of equity accounted investees	(1,466,914)	(748,194)	-	-
Gains on bargain purchases (negative goodwill)	-	(205,473)	-	-
Fair value gain on previously held interest in BRAC	(15,589)	-	-	-
Change in faire value of investment properties	-	(319,500)	-	(472,500)
Operating profit before working capital changes	**16,512,936**	**15,307,435**	**1,401,540**	**2,247,582**
Working capital changes				
Increase/(decrease) in trade and other payables	5,288,615	564,136	(4,995)	993,310
(Increase)/decrease in investment in leases, hire purchase and others	(7,125,294)	(950,687)	-	50,207
(Increase)/decrease in investment in advances and other loans	(17,875,684)	(6,047,534)	109,775	1,315,053
(Increase)/decrease in premium receivables	34,318	(142,036)	-	-
(Increase)/decrease in inventories	740,846	(13,327)	6,812	(52,045)
(Increase)/decrease in trade and other receivables	(2,722,166)	(2,753,498)	(2,493,762)	1,264,406
(Increase)/decrease in customer deposits	3,504,730	9,077,154	-	-
Cash generated from operations	**(1,641,699)**	**15,041,643**	**(980,630)**	**5,818,513**
Finance cost paid	(9,016,888)	(11,461,446)	(1,303,985)	(2,214,266)
Income tax and Economic Service Charge paid	(275,086)	(618,160)	(2,838)	(30,438)
Defined benefit plan costs paid	(18,833)	(16,886)	(6,192)	(4,575)
Net cash from/(used in) operating activities	**(10,952,506)**	**2,945,152**	**(2,293,645)**	**3,569,234**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(665,584)	(2,827,181)
Net cash and cash equivalents on acquisition of subsidiary	(1,652,048)	(505,281)	-	-
Net cash and cash equivalents received on disposal of subsidiary	-	20,606	-	-
Investment in equity accounted investees	(48,565)	(512,829)	(525,874)	(220,153)
Acquisition of non-controlling interests	-	(2,999,928)	-	-
Acquisition of property, plant and equipment	(2,567,091)	(1,560,286)	(255,462)	(262,998)
Acquisition / (Disposal) of intangible assets	(8,770)	(78,726)	-	(55,260)
Net additions to trading assets	147,296	(4,665,463)	-	-
Net additions to investment securities	(709,130)	2,091,902	(25,616)	(69,633)
Proceeds from the sale of property, plant and equipment	38,424	65,168	24,819	594,950
Interest received	1,132,506	1,011,515	1,504	1,493
Dividend received	36,331	-	18,495	81,786
Net cash flow from investing activities	**(3,631,047)**	**(7,133,323)**	**(1,427,718)**	**(2,756,996)**
CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from long-term interest bearing loans and borrowings	27,770,740	12,696,905	8,153,510	1,798,518
Repayments of long-term interest bearing loans and borrowings	(14,052,906)	(7,464,259)	(4,399,184)	(3,405,606)
Dividends paid to non-controlling interests	(150,240)	(56,152)	-	-
Share issue of subsidiairies	1,028,835	-	-	-
Share issue expenses	(16,008)	-	-	-
Net cash generated from financing activities	**14,580,421**	**5,176,494**	**3,754,326**	**(1,607,088)**
Net increase/(decrease) in cash and cash equivalents during the year	(3,132)	988,323	32,963	(794,850)
Cash and cash equivalents at the beginning of the year	2,354,194	(284,086)	(305,484)	(644,688)
Cash and cash equivalents at the end of the year	**2,351,062**	**704,237**	**(272,521)**	**(1,439,538)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	5,770,004	5,161,194	60,956	74,149
Unfavorable Bank Balances used for cash management purposes	(3,418,942)	(4,456,957)	(333,477)	(1,513,687)
	2,351,062	**704,237**	**(272,521)**	**(1,439,538)**

1 The Statement of Financial Position as at 31 December 2014, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the nine months ended thereof are drawn up from unaudited accounts of the Company, its subsidiaries, equity accounted investees (associates and joint ventures) and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Annual Report for 2013/14 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4 Income represents the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2014.

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9 Market prices of ordinary shares recorded during the quarter ended 31st December 2014 are as follows;

	Rs.
Closing price	88.00
Highest Price	102.00
Lowest Price	80.00

10 Information on Company's listed debentures

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 30 January 2015

	4 Year Bond		5 Year Bond	
	Price (Rs.)	Yield (%)	Price (Rs.)	Yield (%)
Buying	105.40	7.29	98.30	7.48
Selling	105.83	7.16	98.77	7.37

Market prices and yield during the year (ex interest)	Price (Rs.)	Yield (%)
4 Year Bond	102.51	7.36
5 Year Bond	94.58	7.55

Debt to equity	0.54	times
Interest cover	1.08	times

11 Super Gain Tax

The government has announced a super gain tax applicable for the year of assessment 2013/14 . However implications on the Group (if any) are yet to be evaluated after the relevant gazette notification is issued by the Department of Inland Revenue.

12 Adoption of SLFRS 11 - Joint Arrangements in 2014/15 - Free Lanka Group

SLFRS 11 Joint Arrangements, replaces LKAS 31 - Interests in Joint Ventures and SIC-13 Jointly Controlled Entities - Non-Monetary Contributions by Ventures. SLFRS 11 also amends LKAS 28 Investments in Associates.

The main changes from LKAS 31 to SLFRS 11

As per LKAS 31, an option was availablefor jointly controlled entities, between proportionate consolidation and the equity accounting method. The new standard is on the basis that proportionate consolidation is not appropriate in the absence of rights/obligations directly to/for the underlying assets/obligations of the arrangement.

Based on the new standard, accounting for jointly controlled entities should be changed from proportionate consolidation which was allowed in LKAS 31 to equity accounting.

Previous method applied by LOLC Group

From the date of acquisition, LOLC accounted for Free Lanka Group using proportionate consolidation as allowed by LKAS 31. Proportionate consolidation method allowed the investor to account the proportion of assets, liabilities, income and expense of the joint venture in the investor's financial statements.

New treatment

As per the SLFRS 11, the method of accounting should be changed to equity accounting method where only the net assets movement of Jointly controlled entities are recorded in the investor's financial statements. The change in accounting method will affect the respective line items of the statement of financial position (balance sheet), the statement of profit or loss and the statement of other comprehensive income .

In the statement of financial position, the respective assets and liabilities of the Jointly controlled entities are removed from the consolidated numbers and the net assets proportion of the jointly controlled entities are equity accounted. There will be no impact on the parent's net assets of the consolidated financial statements. In the profit or loss, income and expenses of Jointly controlled entities are removed from the consolidations and the net profit of the Jointly controlled entities will be accounted as the share of profit of equity accounted investees.

The full effect of the change in current method of accounting using proportionate consolidation and future equity method of accounting as follows;

	Group		
	As at 31 Dec 2013		
Statement of Financial Position	**Previously reported Rs.' 000**	**SLFRS 11 Adjustment / Reclassification Rs.' 000**	**Reinstated Rs.' 000**
Assets			
Cash in hand and favorable bank balances	5,161,194	(151,187)	5,010,007
Trading assets - fair value through profit or loss	6,314,652	(5,232,645)	1,082,007
Investment securities	10,735,545	4,726,532	15,462,077
Finance lease receivables, hire purchases and operating leases	38,262,009	-	38,262,009
Advances and other loans	54,121,027	-	54,121,027
Insurance premium receivables	445,467	-	445,467
Inventories	2,523,782	(346,714)	2,177,068
Current tax assets	283,831	(3,320)	280,511
Trade and other current assets	9,189,065	(759,046)	8,430,019
Prepaid lease rentals on leasehold properties	51,998	-	51,998
Investment properties	6,995,306	(136,000)	6,859,306
Real estate stocks	2,598	-	2,598
Biological assets;			
Consumer biological assets	2,865,579	(2,865,579)	-
Bearer biological assets	3,793,059	(3,793,059)	-
Investments in group of companies;			
Subsidiary companies	-	-	-
Jointly controlled entities	-	1,837,298	1,837,298
Equity accounted investees - Associates	11,666,679	-	11,666,679
Deferred tax assets	440,952	(183)	440,769
Intangible assets	812,712	(17,201)	795,511
Property, plant and equipment	20,343,286	(1,605,502)	18,737,784
Total assets	**174,008,741**	**(8,346,606)**	**165,662,135**
Liabilities and equity			
Liabilities			
Bank overdrafts	4,456,957	(96,187)	4,360,770
Trading liabilities - fair value through profit or loss	144,656	-	144,656
Deposits liabilities	43,831,809	-	43,831,809
Interest bearing borrowings	70,736,505	(653,607)	70,082,898
Insurance provision - life	170,973	-	170,973
Insurance provision - general	1,159,795	-	1,159,795
Current tax payables	1,452,641	(10,789)	1,441,852
Trade and other payables	6,809,601	(1,403,784)	5,405,817
Deferred tax liabilities	2,135,326	(452,945)	1,682,381
Deferred income	286,945	(259,144)	27,801
Retirement benefit obligations	1,081,639	(797,308)	284,331
Total liabilities	**132,266,847**	**(3,673,764)**	**128,593,083**
Equity			
Stated capital	475,200	-	475,200
Reserves	2,322,737	-	2,322,737
Retained earnings	17,167,403	-	17,167,403
Equity attributable to shareholders of the Company	**19,965,340**	**-**	**19,965,340**
Non-controlling interests	21,776,554	(4,672,842)	17,103,712
Total equity	**41,741,894**	**(4,672,842)**	**37,069,052**
Total liabilities & equity	**174,008,741**	**(8,346,606)**	**165,662,135**

	Group		
	For the nine month ended 31 Dec 2013		
Statement of Profit or Loss	**Previously reported Rs.' 000**	**SLFRS 11 Adjustment / Reclassification Rs.' 000**	**Reinstated Rs.' 000**
Gross income	**32,962,028**	**(2,583,565)**	**30,378,463**
Revenue	11,704,174	(3,691,125)	8,013,049
Less: cost of sales	(7,331,123)	1,517,391	(5,813,732)
Gross profit	**4,373,051**	**(2,173,734)**	**2,199,317**
Income	18,934,249	1,134,011	20,068,260
Other income/(expenses)	2,323,605	(26,451)	2,297,154
Net finance costs	(12,458,859)	101,782	(12,357,077)
Profit before operating expenses	**13,172,046**	**(964,392)**	**12,207,654**
Operating expenses			
Direct expenses excluding finance costs	(2,756,715)	909,500	(1,847,215)
Personnel costs	(3,198,261)	847,050	(2,351,211)
Net impairment (loss) / reversal on financial assets	(2,219,871)	-	(2,219,871)
Depreciation and amortization	(665,245)	75,826	(589,419)
Other operating expenses	(2,291,905)	(937,931)	(3,229,836)
Results from operating activities	**2,040,049**	**(69,947)**	**1,970,102**
Gain on disposal of subsidiaries	6,649	-	6,649
Share of profits of equity accounted investees	796,063	(47,869)	748,194
Gains on bargain purchases (negative goodwill)	205,473	-	205,473
Profit before income tax expense	**3,048,234**	**(117,816)**	**2,930,418**
Income tax expense	(1,061,350)	21,408	(1,039,942)
Profit for the year	**1,986,884**	**(96,408)**	**1,890,476**
Profit attributable to;			
Equity holders of the Company	1,293,715	-	1,293,715
Non-controlling interests	693,169	(96,408)	596,761
	1,986,884	**(96,408)**	**1,890,476**

Lanka Orix Leasing Company PLC
Segmental Information

For the nine month period ended 31 December 2014	Financial Services	Insurance	Trading	Leisure	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	24,211,262	1,631,324	8,101,967	822,349	(3,015,297)	**31,751,605**
Cost of sales	-	-	(5,317,796)	(158,168)	81,186	**(5,394,778)**
Net finance costs	(9,557,449)	-	(480,859)	(387,782)	479,844	**(9,946,246)**
Profit before operating expenses	**14,653,813**	**1,631,324**	**2,303,312**	**276,399**	**(2,454,267)**	**16,410,581**
Operating expenses	(9,352,314)	(1,666,798)	(1,666,276)	(672,838)	1,531,900	**(11,826,326)**
Results from operating activities	**5,301,499**	**(35,474)**	**637,036**	**(396,439)**	**(922,367)**	**4,584,255**
Share of profits of equity accounted investees	-	-	-	-	1,466,914	**1,466,914**
Gains on bargain purchases (negative goodwill)	-	-	-	-	-	**-**
Profit before taxation	**5,301,499**	**(35,474)**	**637,036**	**(396,439)**	**544,547**	**6,051,169**
For the nine month period ended 31 December 2013						
Gross income	21,937,461	1,332,584	9,073,207	809,833	(2,774,622)	30,378,463
Cost of sales	-	-	(5,712,990)	(189,859)	89,117	(5,813,732)
Net finance costs	(11,853,830)	-	(936,387)	(230,060)	663,200	(12,357,077)
Profit before operating expenses	10,083,631	1,332,584	2,423,830	389,914	(2,022,305)	12,207,654
Operating expenses	(7,038,125)	(1,205,918)	(1,976,564)	(646,877)	629,932	(10,237,552)
Results from operating activities	3,045,506	126,666	447,266	(256,963)	(1,392,373)	1,970,102
Gain on disposal of subsidiaries	-	-	-	-	6,649	6,649
Share of profits of equity accounted investees	-	-	-	-	748,194	748,194
Gains on bargain purchases (negative goodwill)	-	-	-	-	205,473	205,473
Profit before taxation	3,045,506	126,666	447,266	(256,963)	(432,057)	2,930,418

For the nine month period ended 31 December 2014	Financial Services	Insurance	Trading	Leisure	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	2,427,154	-	-	-	-	**2,427,154**
Depreciation and amortization	342,296	37,103	179,402	147,725	18,944	**725,470**
Total assets (as at 31 December 2014)	192,206,315	3,434,260	21,274,583	21,075,416	(23,704,282)	**214,286,292**
Total liabilities (as at 31 December 2014)	152,279,398	2,240,015	9,870,516	6,639,529	(4,068,558)	**166,960,900**
For the nine month period ended 31 December 2013						
Net impairment (loss) / reversal on financial assets	2,219,697	-	-	-	174	**2,219,871**
Depreciation and amortization	267,632	16,202	109,183	128,896	67,506	**589,419**
Total assets (as at 31 December 2013)	149,457,560	2,290,281	19,273,330	20,316,675	(25,675,711)	**165,662,135**
Total liabilities (as at 31 December 2013)	118,148,908	1,620,013	9,392,456	5,800,688	(6,368,982)	**128,593,083**

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 December 2014

Directors Name	No of shares	%
Mrs. R L Nanayakkara *Chairperson*	-	-
Mr. R M Nanayakkara	172,492,292	36.299
Mr. I C Nanayakkara *Deputy Chairman (Also Alternate Director to Mr R.M Nananayakkara)*	59,895,500	12.604
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mrs. K U Amarasinghe	23,760,000	5.000
Mr. W D K Jayawardena *Managing Director / Group CEO*	-	-
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-

Top 20 shareholders as at 31 December 2014

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
8	Dr. R R De Silva	4,862,084	1.023
9	Employees Trust Fund Board	3,407,737	0.717
10	Mrs. I Nanayakkara	2,827,948	0.595
11	Bank of Ceylon - No 2 Account	1,546,000	0.325
12	Mr. M Radhakrishnan	1,500,000	0.316
13	HSBC - Mr. R C De Silva	1,150,000	0.242
14	Mr. G G Ponnambalam	1,044,960	0.220
15	Dr. M Ponnambalam	1,044,960	0.220
16	Swasthika Mills LTD	1,006,800	0.212
17	Mr. R C De Silva	1,000,000	0.210
18	Mrs. S N Fernando	818,440	0.172
19	Mr. S Nadesan	660,000	0.139
20	National Savings Bank	606,900	0.128
		454,425,128	**95.628**

The Public Shareholding as at 31 December 2014 was 15.50% comprising of 3,182 shareholders.